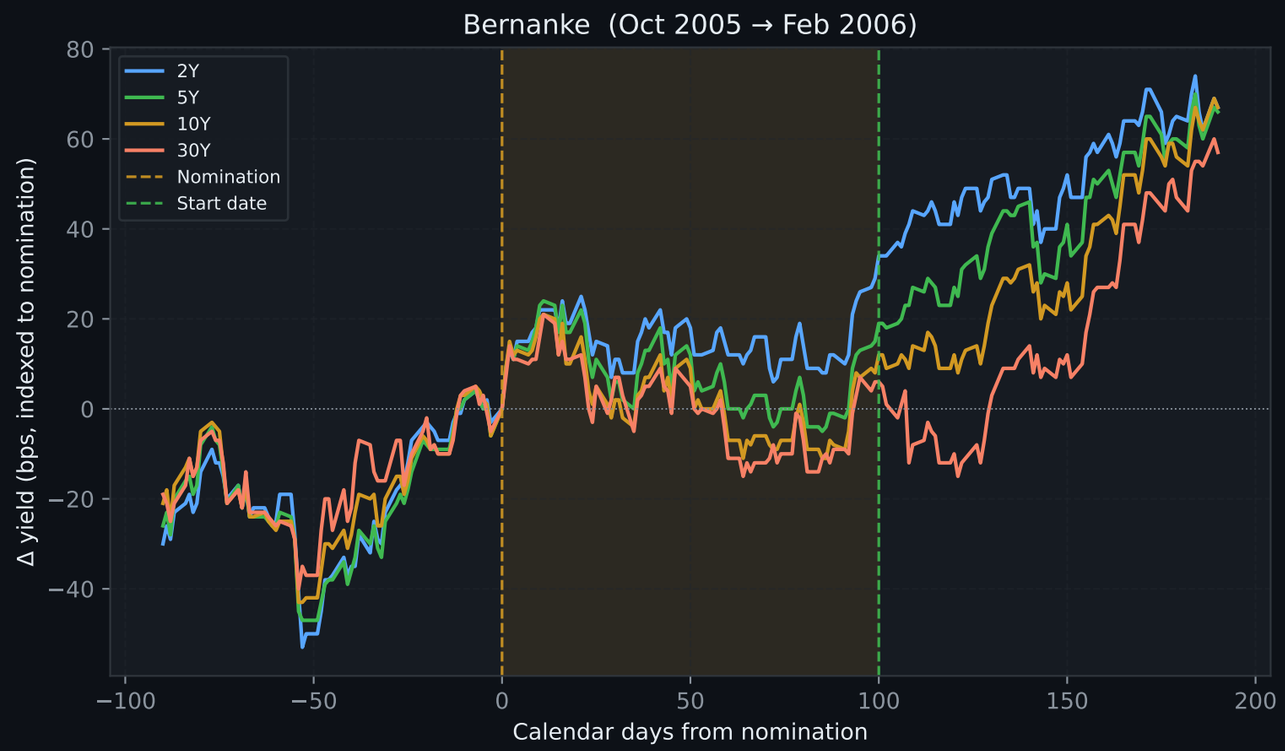
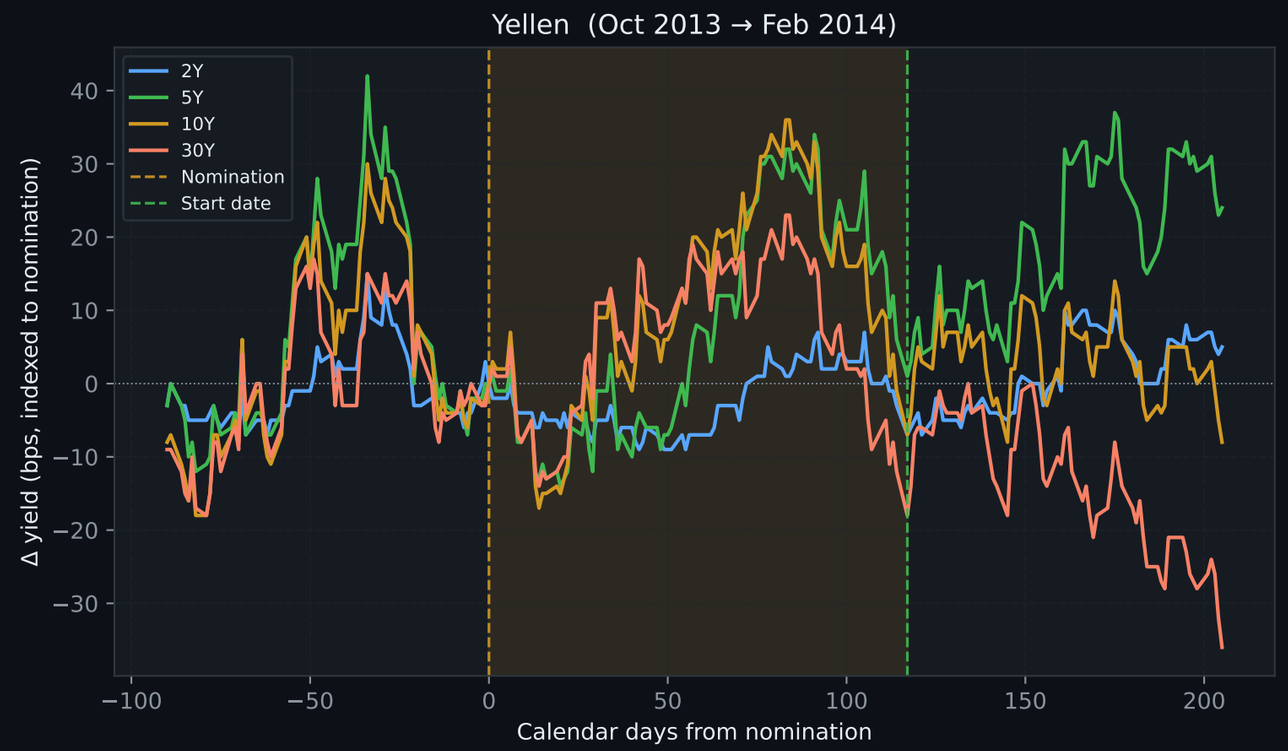
Fed Chair Transition Dynamics
Spot Yields · Realised Vol · PCA

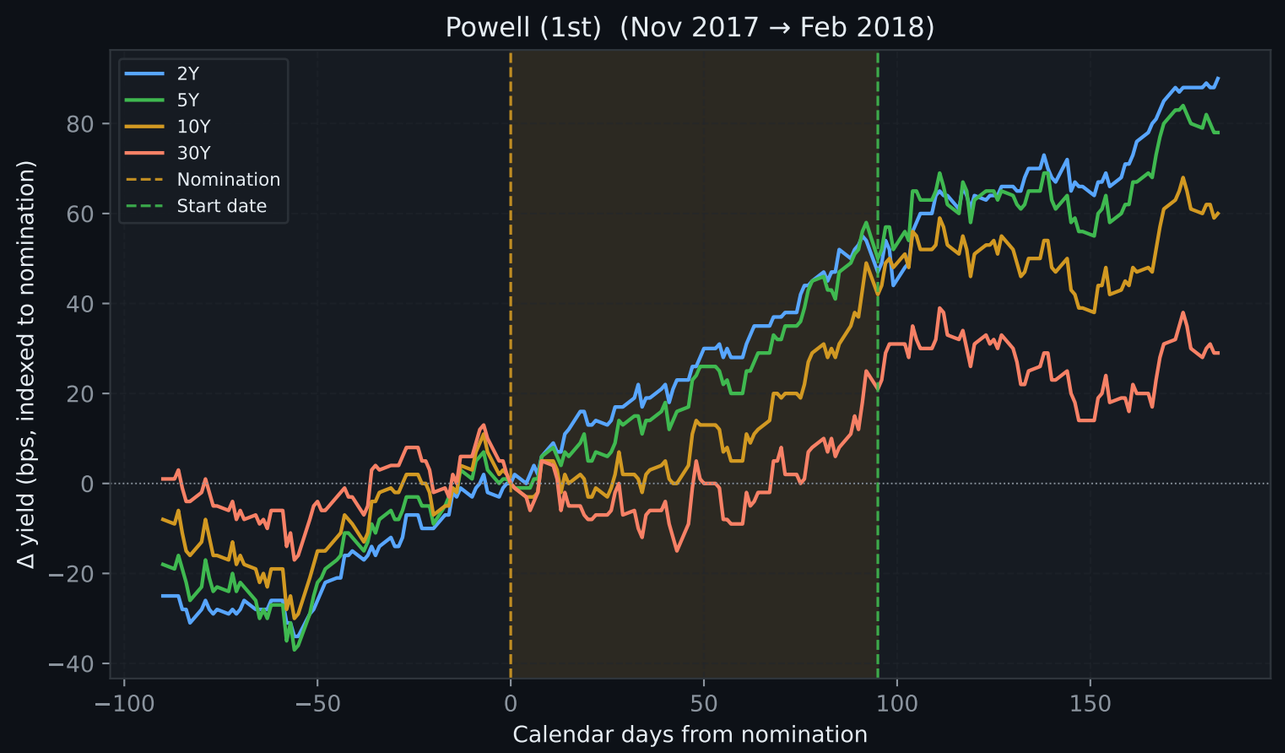
Label	Chair	Nomination	Start	Limbo (days)
Bernanke	Ben Bernanke	2005-10-24	2006-02-01	100
Yellen	Janet Yellen	2013-10-09	2014-02-03	117
Powell (1st)	Jerome Powell	2017-11-02	2018-02-05	95
Powell (2nd)	Jerome Powell (renominated)	2021-11-22	2022-05-23	182

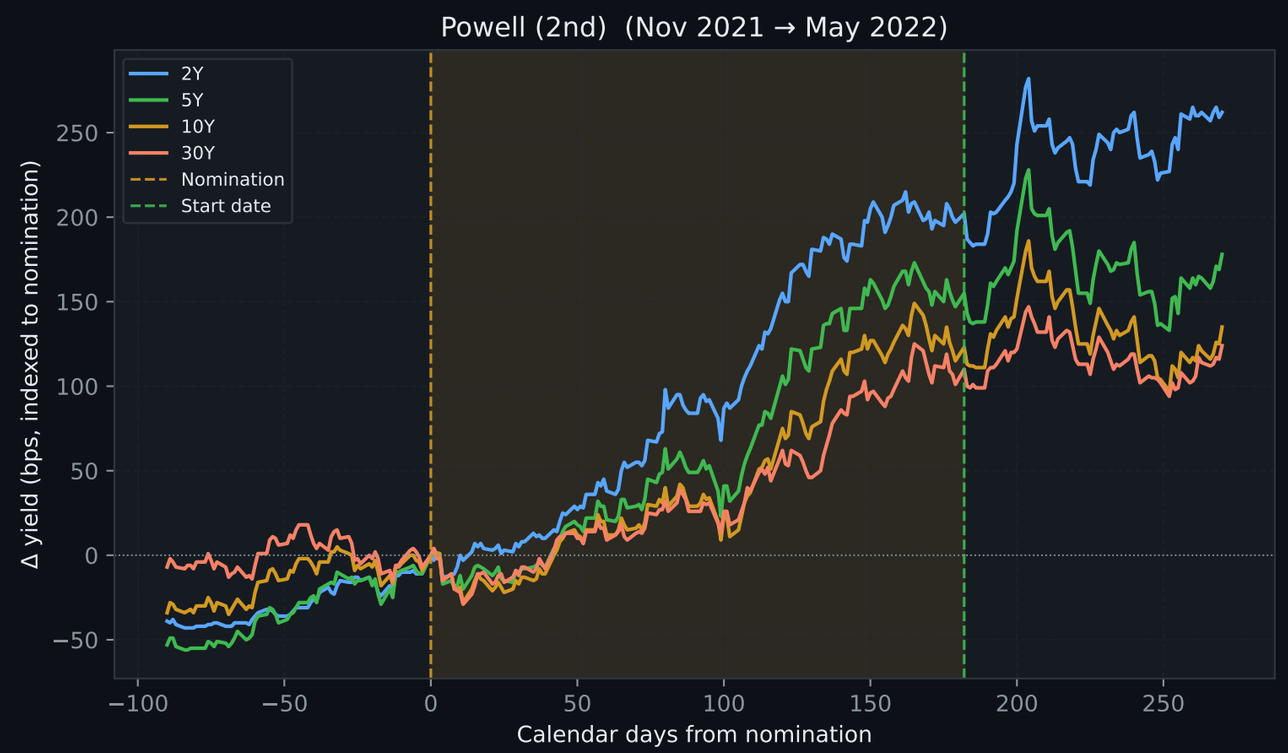
Event windows: Pre = 90 days before nomination | Limbo = nomination → start | Post = 90 days after start

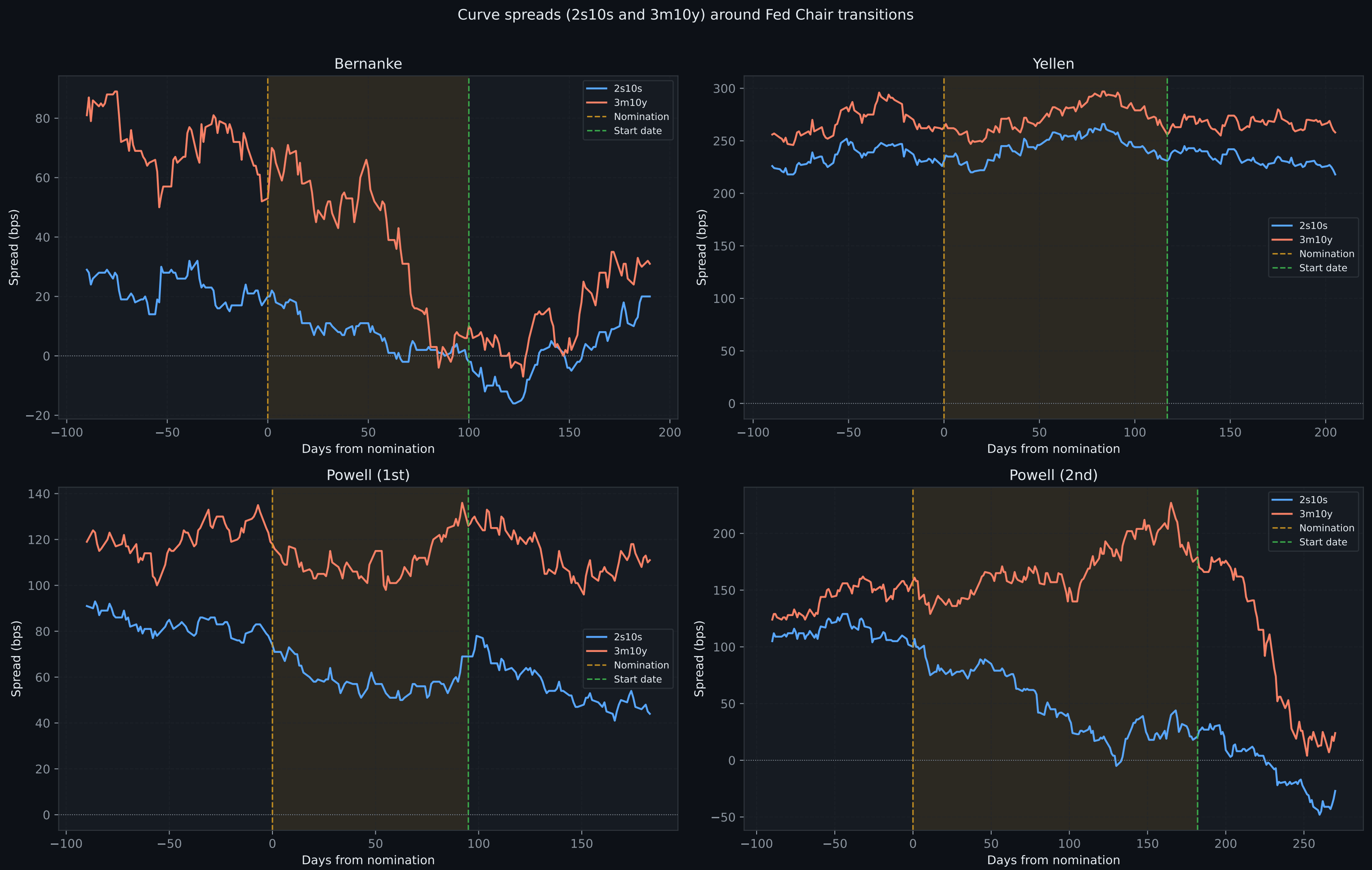
Spot yield changes around Fed Chair transitions
Indexed to 0 at nomination day | shaded = limbo period

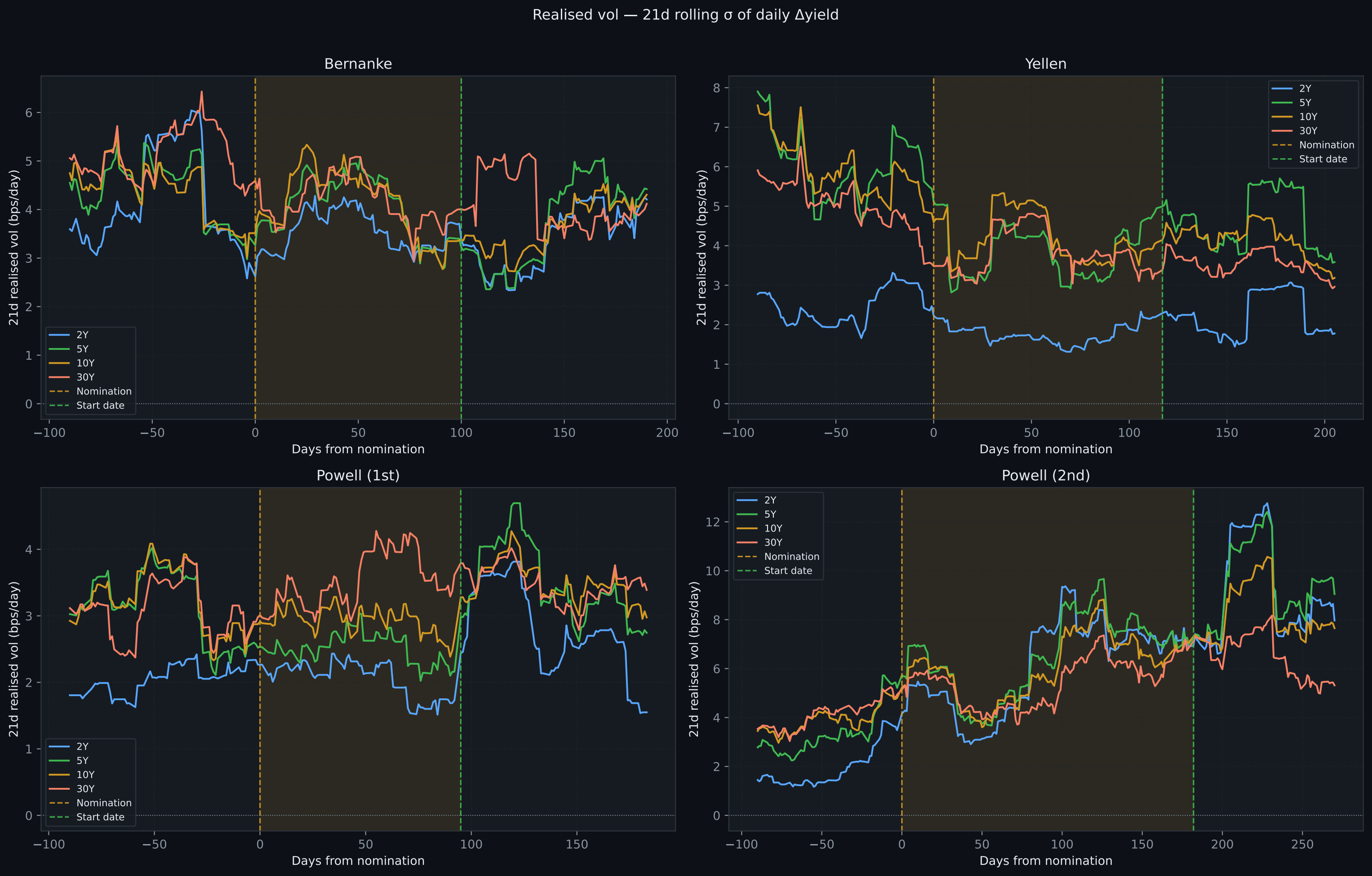


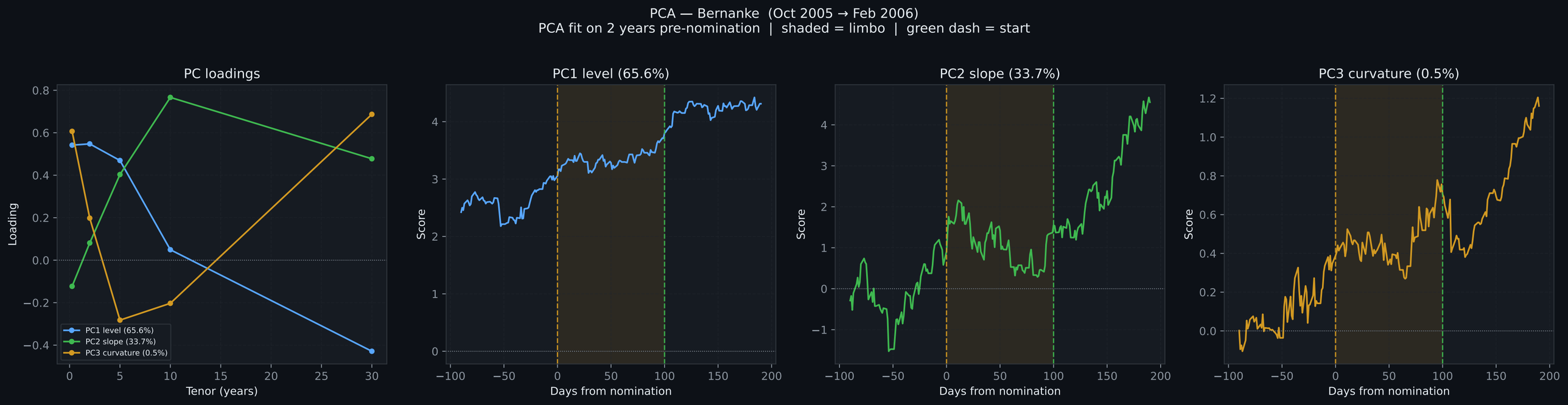




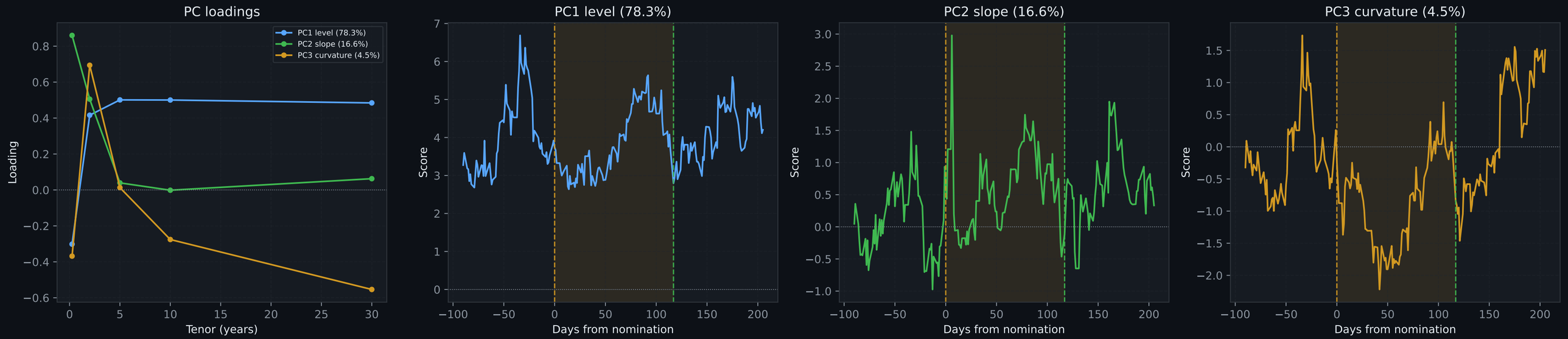



Curve spreads (2s10s and 3m10y) around Fed Chair transitions
Bernanke
Yellen
Powell (1st)
Powell (2nd)
Spread (bps)
Days from nomination
2s10s
3m10y
Nomination
Start date

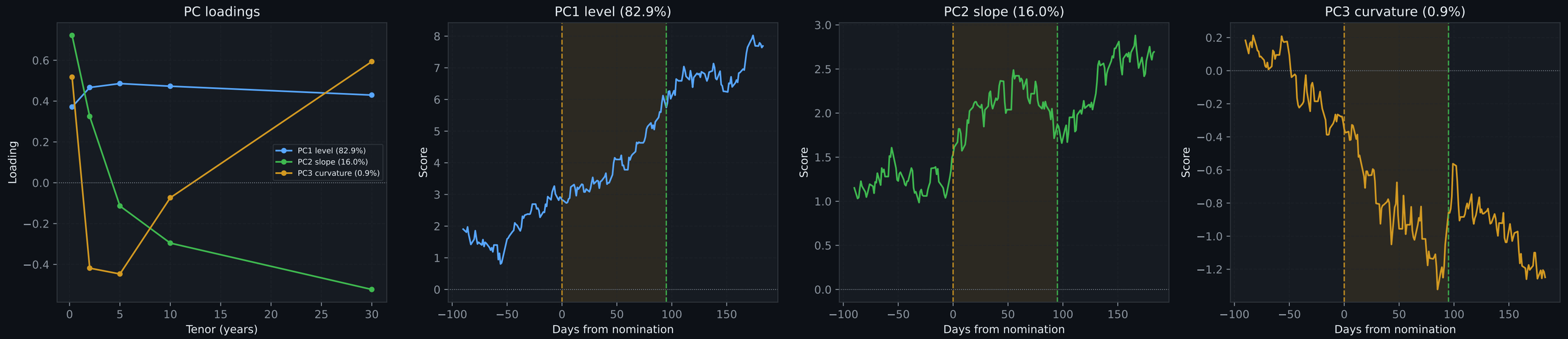

Realised vol — 21d rolling σ of daily Δyield
Bernanke
Yellen
Powell (1st)
Powell (2nd)
21d realised vol (bps/day)
Days from nomination
2Y
5Y
10Y
30Y
Nomination
Start date


PCA — Bernanke (Oct 2005 → Feb 2006)
PCA fit on 2 years pre-nomination | shaded = limbo | green dash = start
PC loadings
Loading
Tenor (years)
PC1 level (65.6%)
PC2 slope (33.7%)
PC3 curvature (0.5%)
PC1 level (65.6%)
Score
Days from nomination
PC2 slope (33.7%)
Score
Days from nomination
PC3 curvature (0.5%)
Score
Days from nomination

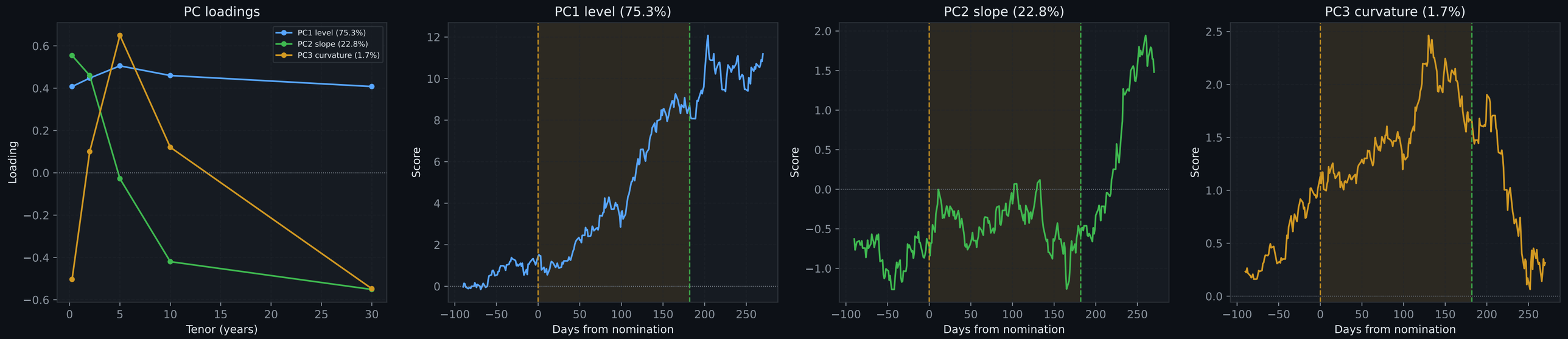
PCA — Yellen (Oct 2013 → Feb 2014)
PCA fit on 2 years pre-nomination | shaded = limbo | green dash = start



PCA — Powell (1st) (Nov 2017 → Feb 2018)
PCA fit on 2 years pre-nomination | shaded = limbo | green dash = start

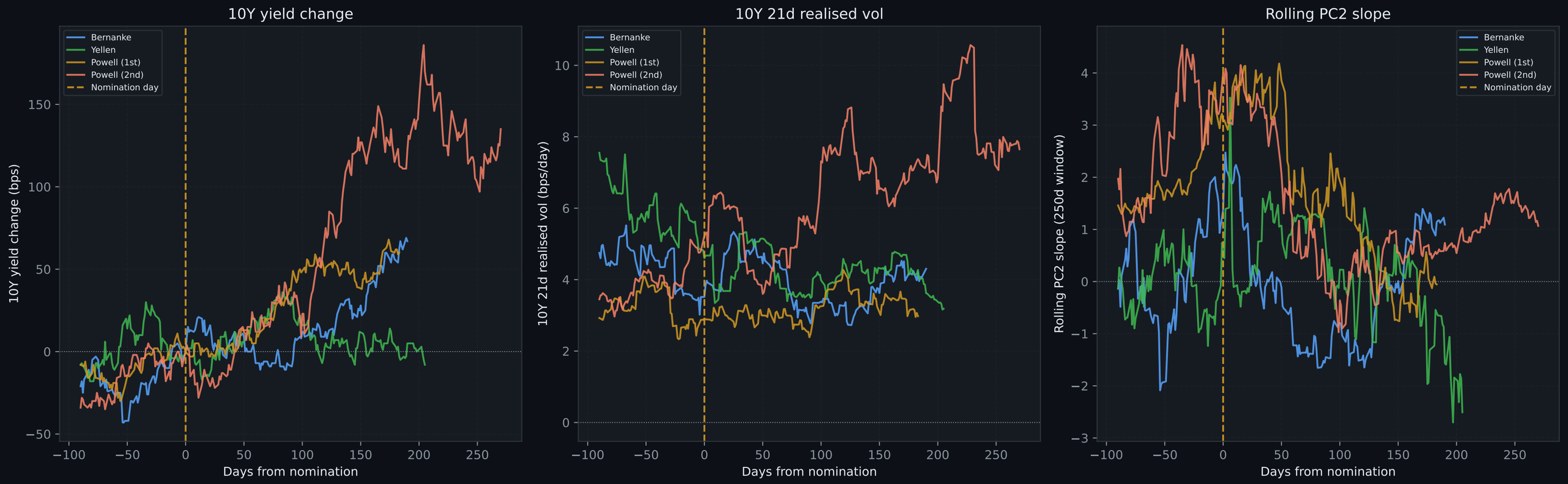


PCA — Powell (2nd) (Nov 2021 → May 2022)
PCA fit on 2 years pre-nomination | shaded = limbo | green dash = start

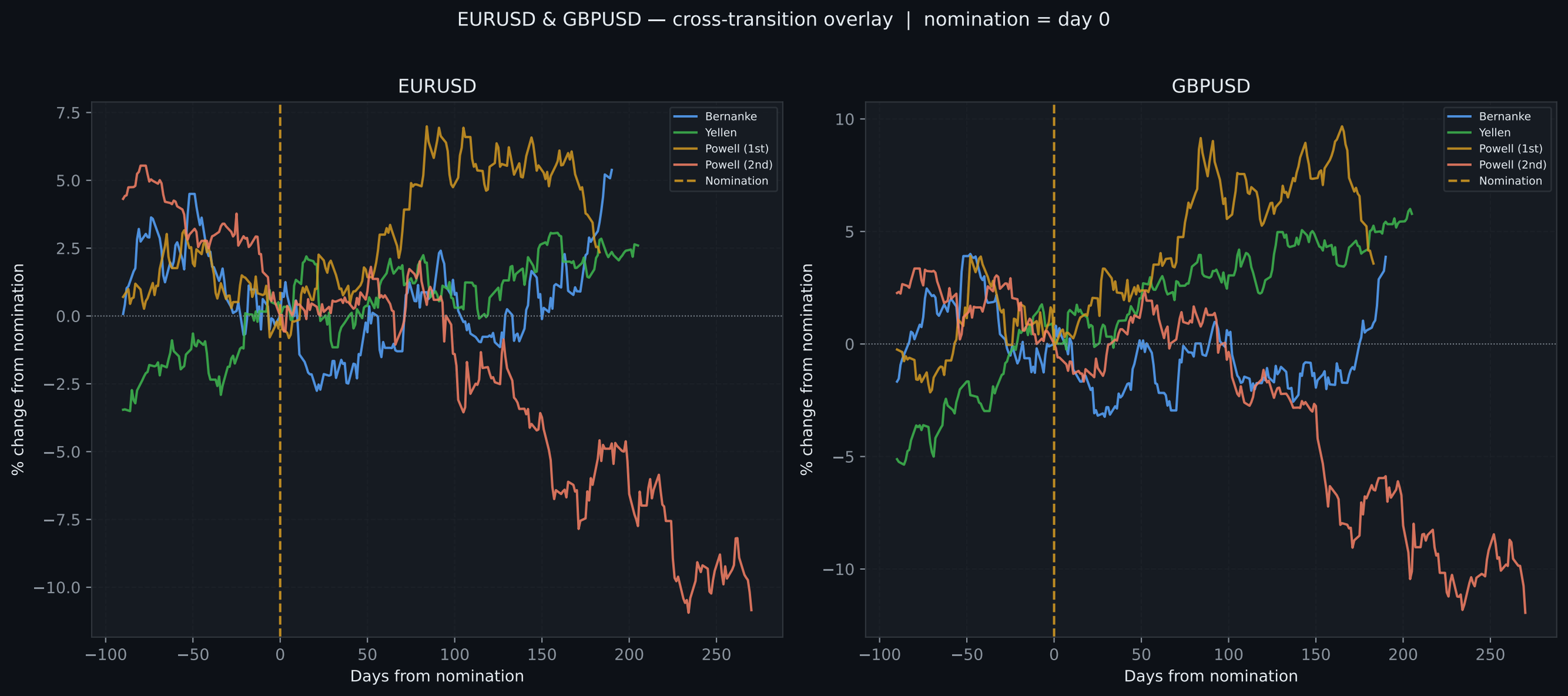
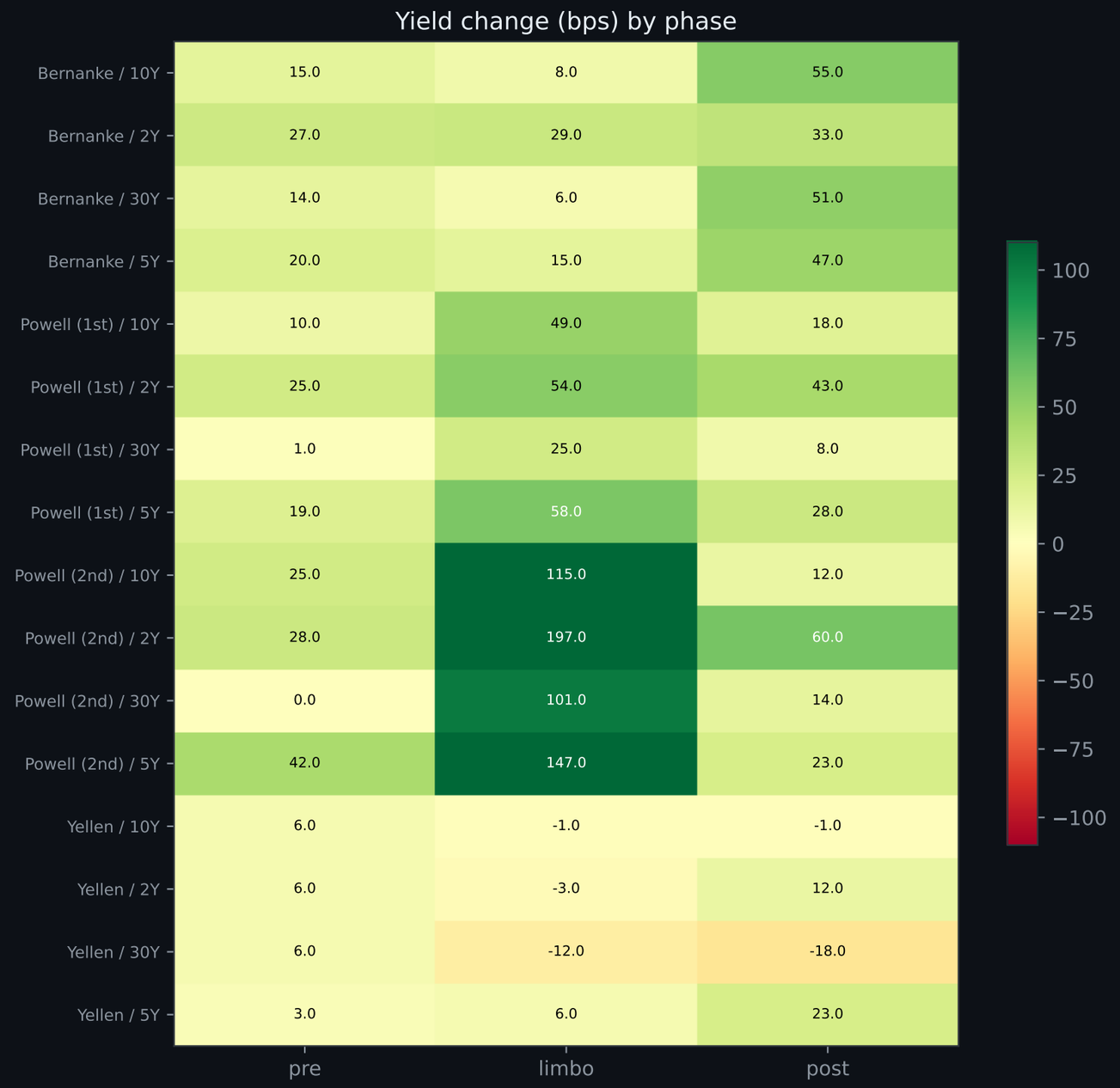
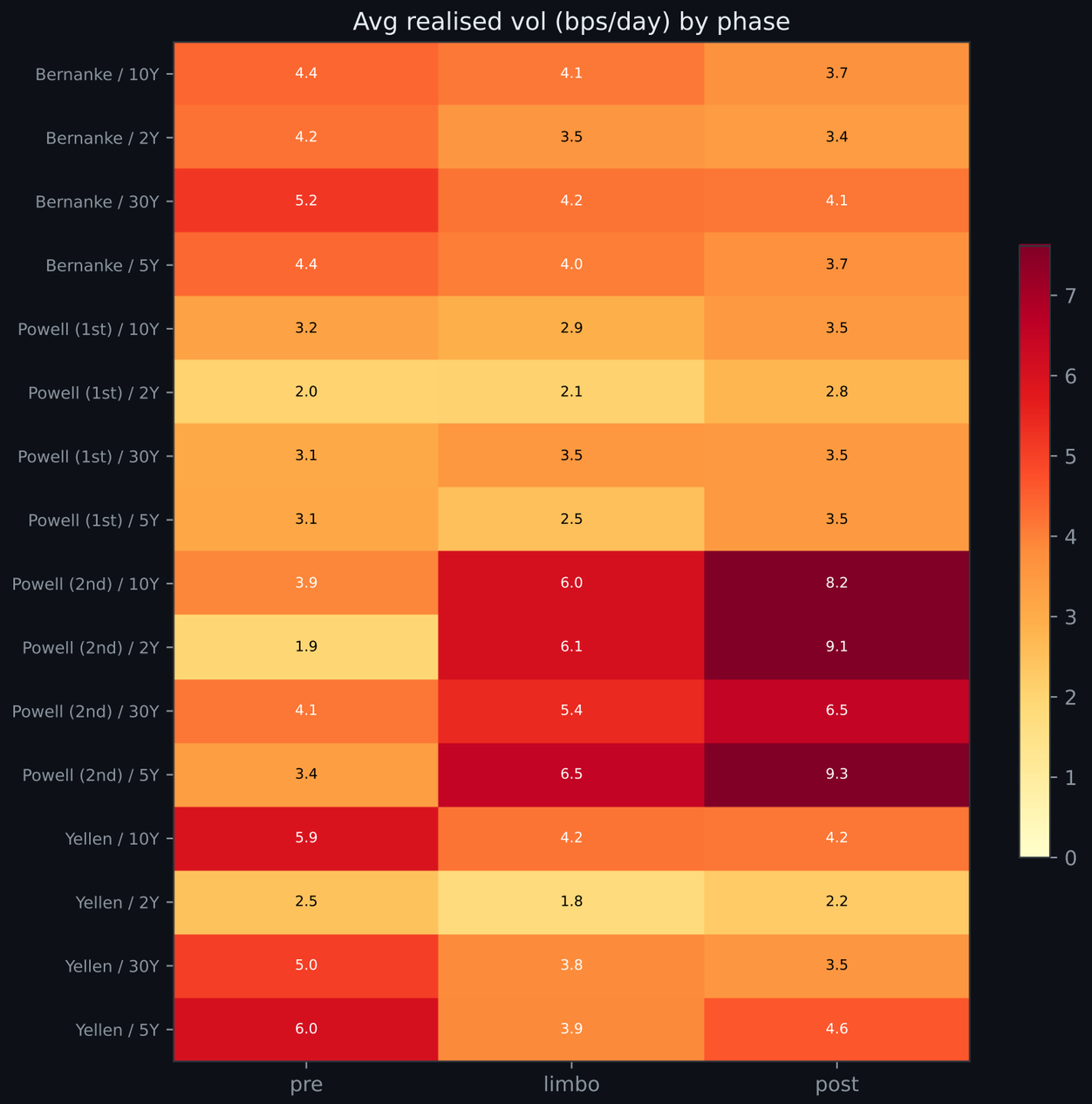


Rolling PCA scores (250-day window) | PC1=level · PC2=slope · PC3=curvature
shaded = limbo | green dash = start date

Cross-transition overlay — 10Y | all transitions aligned to nomination = day 0



EURUSD & GBPUSD around Fed Chair transitions
Top: price indexed to 0 at nomination | Bottom: 21d realised vol
shaded = limbo | green dash = start date
Bernanke
Yellen
Powell (1st)
Powell (2nd)
% change from nomination
21d realised vol (%/day)
Days from nomination
EURUSD
GBPUSD
Nomination
Start date


EURUSD & GBPUSD — cross-transition overlay | nomination = day 0
EURUSD
GBPUSD
Bernanke
Yellen
Powell (1st)
Powell (2nd)
Nomination
% change from nomination
Days from nomination
7.5
5.0
2.5
0.0
−2.5
−5.0
−7.5
−10.0
10
5
0
−5
−10
−100
−50
0
50
100
150
200
250

Summary heatmaps by transition, tenor, and event phase